

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$228.86 ▲ 3.23%	12M Price Target \$265.00	52-Week Range \$68.36 – \$329.88	Market Cap \$205.68B
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MRVL: AI Silicon Play Bouncing Back, Custom Chip Story Intact

WHAT HAPPENED

- MRVL popped 3.2% on light volume (8.3M vs the 15M+ we've been seeing) — that's a bounce-back move after Monday's ugly 7% drop, not a fresh conviction rally. Motley Fool flagged it as sympathy buying with the broader semi tape green today.
- The real story in the news flow: Astera Labs (ALAB) and Credo (CRDO) are both launching competing products in the AI networking/optics space — that's why MRVL sold off earlier this week, and why the bounce feels more like "oversold snapback" than "all-clear."

WHY IT MATTERS

Here's what today's move really tells us: MRVL is stuck in a tug-of-war between a massive AI custom-silicon opportunity (they design chips for Amazon's Trainium and Microsoft) and the reality that competitors are catching up in adjacent markets like optical DSPs and PCIe retimers. The stock trading at 61% of its 52-week range means the market hasn't picked a side yet — bulls see the \$10B+ AI revenue runway, bears see margin compression coming. The bullish options flow (put/call of 0.51, meaning 2x more calls than puts being bought) tells me the smart money is positioning for upside into the next earnings print, but those unusual puts at \$232.50 also suggest someone's hedging a specific event. Bottom line: this is a "buy the dip" name, not a "chase the rally" name.

POLICY & POLITICAL WATCH

The big political tailwind is the CHIPS Act 2.0 discussions happening in Congress right now — any expansion of semiconductor manufacturing subsidies directly helps MRVL's US-based design and packaging partners (mainly TSMC Arizona). The bigger swing factor is Trump-era export controls on advanced chips to China — MRVL gets roughly 43% of revenue from China, so any tightening of the current AI chip export rules (which the Commerce Department is reviewing this fall) would hit them harder than most peers. Watch for the Q4 review of the AI Diffusion Rule — if it gets stricter, that's a real headwind; if the administration eases up to court semiconductor lobbying dollars, MRVL rips.

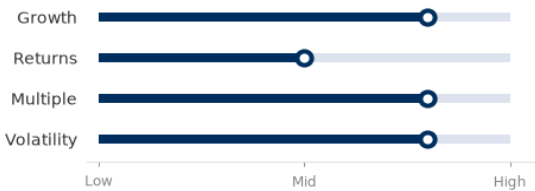
IS IT EXPENSIVE?

At ~\$205B market cap and roughly 25x forward sales (meaning you're paying \$25 for every \$1 of next year's revenue), MRVL is priced like an AI winner — that's expensive compared to legacy semis at 5-8x but cheaper than Nvidia at 30x+. The justification: if their custom AI silicon business hits \$4-5B in FY27 as bulls expect, the multiple compresses fast. If it disappoints by even 15%, this stock has 25% downside — that's the volatility you're signing up for.

Key Data

Price (USD)	\$228.86
12M Price Target	\$265.00
Upside / (Downside)	+15.8%
Market Cap	\$205.68B
FY2027E Revenue	\$8,200M
FY2028E Revenue	\$10,500M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.10
Fwd P/E	80.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$232.00	\$210.00
6 Months	\$290.00	\$250.00	\$195.00
1 Year	\$330.00	\$265.00	\$180.00
2 Years	\$400.00	\$310.00	\$160.00
5 Years	\$550.00	\$400.00	\$200.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: AI semis and data center infrastructure — Tech ETF green today despite being down 1.4% on the week, suggesting a bottoming pattern. Any softening in Fed rate expectations helps long-duration growth names like MRVL.

COOLING OFF: Utilities down 3.2% on the week — the "AI power play" trade is taking a breather as investors question whether power demand forecasts got ahead of reality.

ROTATION WATCH: Money is quietly rotating from the pure-play AI power/utility names back into the actual chip designers — that's a direct positive for MRVL if it sustains.

RELATED PLAY: If MRVL runs, watch Astera Labs (ALAB) and Credo (CRDO) — they're eating some of MRVL's lunch in specific niches, so they can win even in a scenario where MRVL only performs in-line.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): The other custom AI silicon king — 24/7 Wall St. flagged 56% upside call today, and Broadcom is the read-through for MRVL because they compete for the same hyperscaler sockets.
- ALAB (Astera Labs): Winning share in PCIe connectivity and optics — the fact that they're launching directly against MRVL's Leo product line shows how competitive this space is getting.

MRVL CONTEXT: MRVL is lagging AVGO year-to-date but leading ALAB on the 5-day tape. That tells me the market still views MRVL as the "safer" custom silicon bet vs the smaller challengers, but Broadcom is stealing the AI narrative. MRVL needs a clean earnings beat to reclaim the story.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'm not pounding the table; competition is real and the valuation gives you no cushion for mistakes.

POSITION SIZE: 2-4% of portfolio — this is volatile enough (8/10 on my scale) that you don't want it dominating your book, but it's a legit AI winner.

ENTRY POINTS: Add on pullbacks to \$215-220; if it breaks \$200 on a broader semi selloff, that's a table-pounder.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is the next earnings print with updated AI silicon revenue guidance, and confirmation of new hyperscaler wins.

WHEN TO BAIL: If Amazon Trainium volumes get cut, if China export rules tighten dramatically, or if the stock breaks \$180 on heavy volume — that's the market telling you something you don't know.

HEDGING: Simplest hedge is to pair a MRVL long with a small short on ALAB or CRDO — that way if the whole custom silicon space rerates lower, you're partially protected but still capture MRVL-specific upside.